Economics GCE A Level 2026 - Paper 1

Duration: 1h30 | Cameroon GCE Board

GENERAL CERTIFICATE OF EDUCATION BOARD, General Certificate of Education Examination / Technical and Vocational Education Examination. Economics 1, 0725, JUNE 2026, ADVANCED LEVEL. Multiple choice question paper. Duration: One and a Half Hours. Mobile phones are NOT allowed in the examination room. Instructions to candidates: read the instructions carefully before answering; make sure you have a soft HB pencil and an eraser. Use a soft HB pencil throughout the examination. Do not open this booklet until you are told to do so. Check that this question booklet is headed 'Advanced Level - 0725 Economics 1'. Fill in the information required in the spaces above and on the answer sheet (candidate name, exam session, subject code and candidate identification number); do not crease or fold the answer sheet or make any marks on it other than those asked for. Answer ALL the 50 questions in this examination. All questions carry equal marks. Each question has FOUR suggested answers: A, B, C and D. Decide which answer is correct, find the number of the question on the answer sheet and draw a horizontal line across the letter to join the square brackets for the answer you have chosen. Mark only one answer for each question: if you mark more than one answer, you will score a zero for that question. If you change your mind about an answer, erase the first mark carefully, then mark your new answer. Avoid spending too much time on any one question; if you find a question difficult, move on to the next and come back to it later. Do all rough work in this booklet, using, where necessary, the blank spaces in the question booklet. At the end of the examination, the invigilator shall collect the answer sheet first and then the question booklet. Do NOT attempt to leave the examination hall with it.

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1. An increase in money national income will only lead to an improvement in the standard of living when

a) the economy experiences a high rate of inflation.
b) the economy experiences deflation.
c) more goods are directed for foreign investment.
d) there is more investment in the country.

2. A firm has the following cost structure

Output (unit)	**0**	**1**	**2**	**3**	**4**	**5**
TC (000FCFA)	100	190	270	340	400	450

What is the AVC of the firm if 5 units of output are produced?

a) 45,000 FCFA.
b) 90,000 FCFA.
c) 70,000 FCFA.
d) 20,000 FCFA.

3. A Company's capital structure is as follows:

- 1,000 9% debentures at 1000 FCFA each
- 1,000 20% Preference shares at 2000 FCFA each

- 3,000 ordinary shares at 1000 FCFA each

Calculate the equity for this Company.

a) 1,000,000 FCFA.
b) 2,000,000 FCFA.
c) 3,000,000 FCFA.
d) 6,000,000 FCFA.

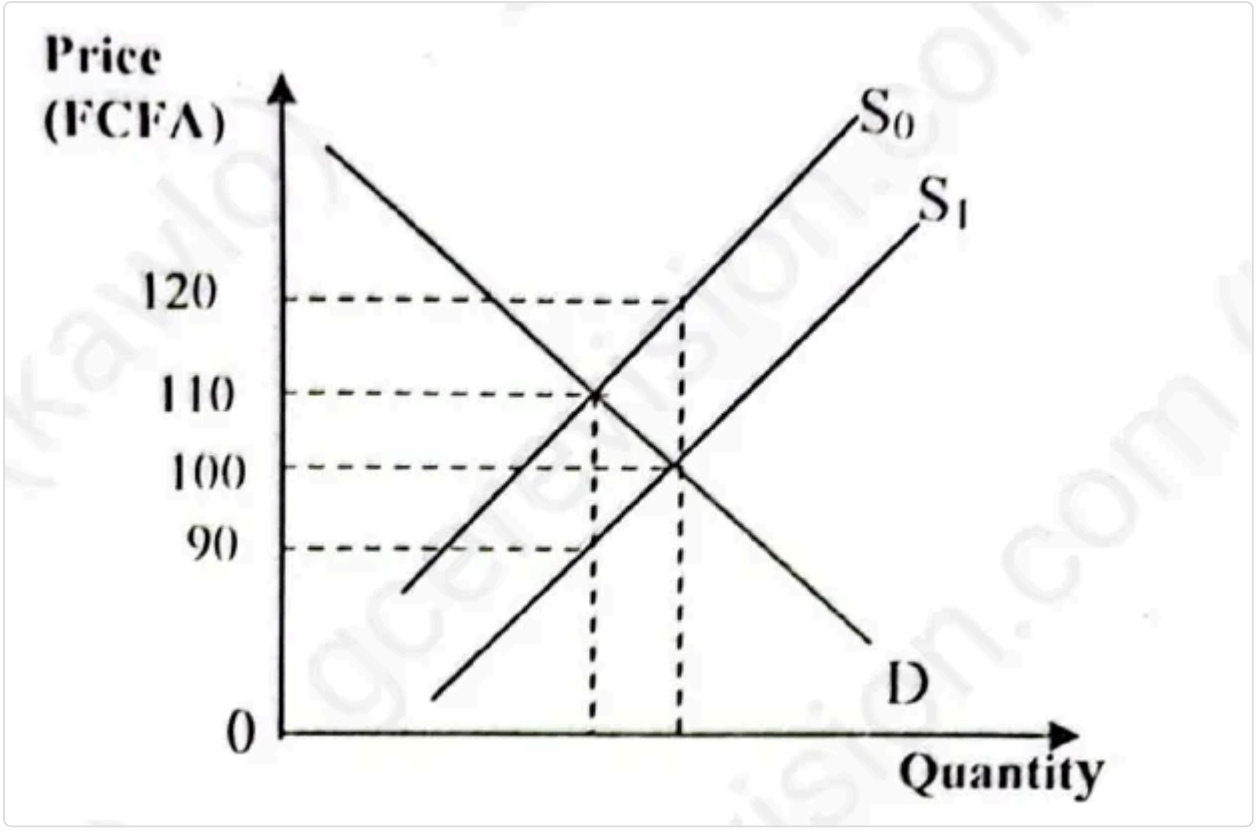
4. A mixed economy has

a) elements of both supply and demand.
b) market forces and government intervention.
c) more positive than negative externalities.
d) more negative than positive externalities.

5. If the price elasticity of demand for exports is 0.6, devaluation of a currency will best cure a balance of payments deficit when the price elasticity of demand for imports is

a) 0.2
b) 0.4
c) 0.6
d) 0.8

6. Question 6 is based on Figure 1 below.



What is the supply price after the granting of the subsidy?

Options as printed: A) 90 FCFA. B) 100 FCFA. C) 110 FCFA. D) 120 FCFA.

7. What term is used when short term government bonds are converted into stocks?

a) Open market operations.
b) Quantitative controls.
c) Special deposits.
d) Funding.

8. The Public Sector Net Cash requirement (PSNCR) is the combined deficit of the

a) central and local governments.
b) central government and local governments.
c) central government and public corporations.
d) central government, local government and public corporations.

9. The income elasticity of demand for a product is 3. Assume the percentage change in income is 5%, calculate the percentage change in quantity demanded.

a) 3%
b) 10%
c) 15%
d) 20%

10. A firm under monopoly will be in equilibrium in the long run when:

a) MC=MR and AC=AR.
b) MC=MR and AR>AC.
c) MC=MR and AC>AR.
d) MC=MR and AR<AC .

11. Question 11 is based on Table 1 showing the desire for people to hold money at different interest rates.

Table 1

Rate of interest (%)	Speculative balance (million FCFA)
20	100
15	150
10	400
8	300
5	450

The transactions and precautionary balances are 250 million FCFA.

Determine the rate of interest if the supply of money is 550million FCFA.

a) 8%.
b) 5%.
c) 10%.
d) 15%.

12. At which phase of the trade cycle will some replacement investment begin to take place?

a) Peak.
b) Recession.
c) Depression.
d) Recovery.

13. Which of the following is a determinant of autonomous consumption?

a) High consumption expenditure.
b) Increased saving.
c) Fall in income.
d) Borrowing and gifts.

14. The sale of treasury bills by the government is an example of

a) reproductive debt.
b) dead weight debt.
c) floating debt.
d) national debt.

15. The study of Positive Economics

a) deals with value judgement.
b) deals with subjective evaluation.
c) is confined to an analysis of facts.
d) deals with what ought to be.

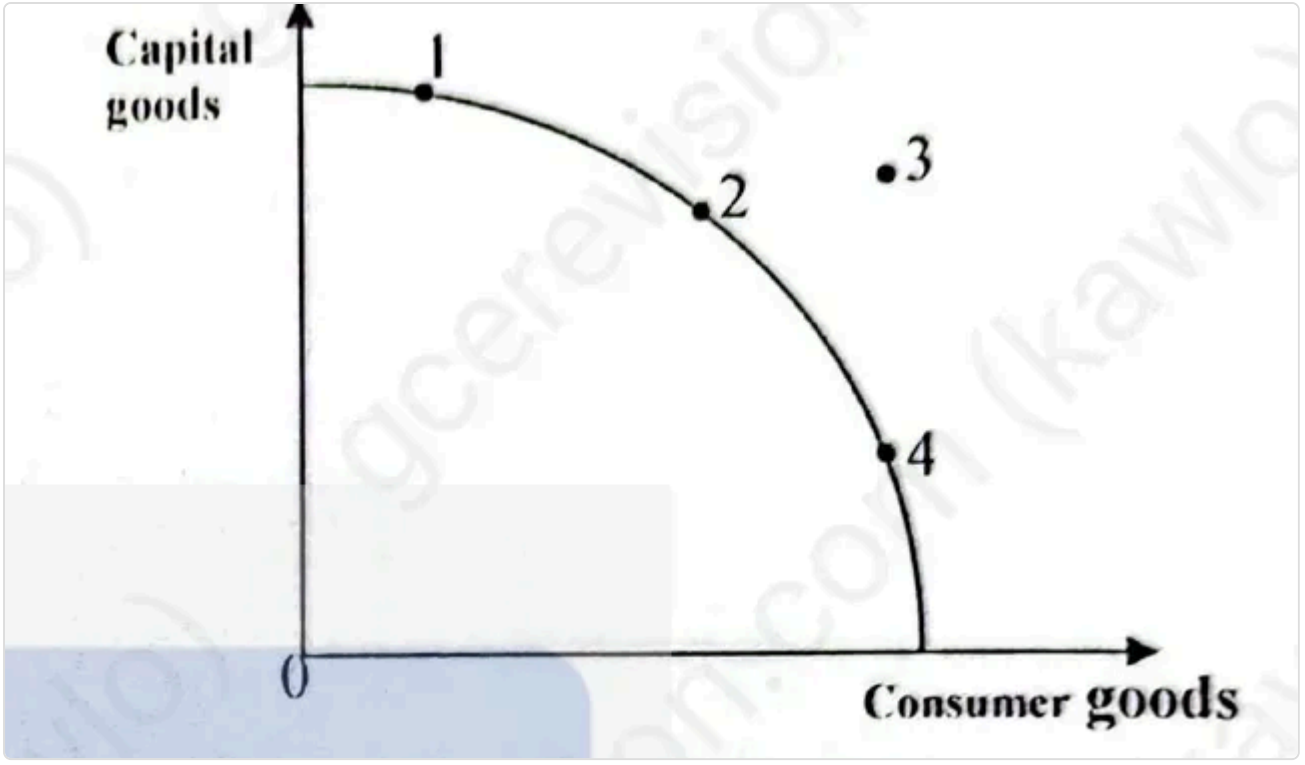
16. The condition that public corporations would *"break even"* means that the price should be equal to the

a) marginal cost.
b) average cost.
c) average revenue
d) marginal revenue.

17. National income plus depreciation plus indirect taxes minus subsidies =

a) GNP at factor cost.
b) GDP at factor cost.
c) GDP at market price
d) GNP at market price.

18. Question 18 is based on Figure 2 below which shows a production possibilities curve of a nation.



Which point would likely produce the highest rate of economic growth?

a) 1
b) 2
c) 3
d) 4

19. Question 19 is based on Table 2 showing the prices of 3 goods and their weights for 2 separate years.

Table 2

Good	Weight	Price Year 1	Price Year 2
A	1	500	450
B	4	200	250
C	20	100	150

What is the percentage increase in the cost of living between year 1 and 2?

a) 43.6
b) 21.7
c) 25
d) 50

20. When the price of a normal good rises, the quantity demanded of

a) its complement will rise.
b) its substitute will rise.
c) the good will increase proportionately.
d) the good will increase more than proportionately.

21. An optimum population is one

a) at which marginal product is highest.
b) that maximizes output per head with given resources.
c) that utilizes its resources efficiently.
d) at which there is allocative efficiency.

22. Which of the following is a characteristic of profit?

a) It can be pre-determined.
b) It is certain during periods of boom.
c) It is a residual item.
d) It cannot be negative

23. Anything that acts as a store of value but not as a medium of exchange is known as

a) money substitute.
b) near money.
c) fiat money.
d) token money .

24. Under what circumstances will a cob-web model be explosive?

	Demand curve is	**Supply curve is**
A	inelastic.	elastic.
B	elastic.	inelastic.
C	unitary.	unitary.
D	inelastic.	inelastic.

a) Demand curve inelastic, supply curve elastic.
b) Demand curve elastic, supply curve inelastic.
c) Demand curve unitary, supply curve unitary.
d) Demand curve inelastic, supply curve inelastic.

25. If the government of Cameroon were to increase direct taxes by 600 billion, indirect taxes by 800 billion, while increasing government expenditure by 1,200 billion, so that there is a net expansionary effect in the economy, this is known as

a) discretionary fiscal policy.
b) automatic fiscal policy.
c) balanced budget.
d) budget surplus.

26. Consider an economy made up of 100 million people, 60 million of whom hold jobs, 10 million of whom are looking for jobs, 15 million of whom are discouraged and refused to work, and 15 million of whom are retired. What is the number of people in the labour force?

a) 60 million.
b) 70 million.
c) 85 million.
d) 100 million.

27. What is the main aim for forward vertical integration?

a) Control the marketing of the product.
b) Rationalisation of production.
c) Reduce risks of market failure.
d) Gain economies of scale.

28. The distribution of goods and services in a laissez-faire economy is most likely determined by

a) consumers' choices.
b) Consumer sovereignty.
c) freedom of choice.
d) the price system.

29. Choice is a fundamental problem to individuals, firms and the government because resources are

a) scarce relative to man's wants.
b) scarce relative to man's needs.
c) limited at any moment in time.
d) always increasing over time.

30. Which action might be part of a contractionary economic policy?

a) Increasing the level of government spending.
b) Reducing the rate of interest.
c) Increasing the money supply.
d) Reducing the rate of government spending.

31. Question 31 is based on table 3 which shows the output of cocoa and cars produced by countries X and Y.

Table 3

Country	Cocoa (units)	Cars (units)
X	6000	1000
Y	8000	5000

If countries X and Y were to specialize following the principle of comparative cost advantage, what will happen to the world's output of cocoa?

Options as printed: A) Increases by 8000units. B) Falls by 2000units. C) Increases by 2000units. D) Remains the same at 14,000units.

32. Which kind of bargaining arrangement is implied in the phrase: *"only union members may be employed"*?

a) Union shop.
b) Open shop.
c) Closed shop.
d) Skilled shop.

33. The use of permissible means to reduce tax liabilities is known as tax

a) evasion.
b) relief.
c) avoidance.
d) exemption

34. Question 34 refers to the information below which shows the national income statistics for a hypothetical economy (Figures in Million FCFA).

Item	Million FCFA
Consumers' expenditure	31238
Public authorities' current expenditure on goods & services	9055
Gross domestic capital formation	9340
Exports and property income from abroad	13775
Imports and property income paid abroad	12979
Taxes on expenditure	8458
Subsidies	848
Capital consumption	4132

What is the Total Domestic Expenditure at market prices?

a) 38,687 million FCFA.
b) 24,819 million FCFA.
c) 50,425 million FCFA.
d) 49,633 million FCFA

35. Which of the following should be deducted from a firm's revenue to ascertain whether it is making an economic profit?

a) Both its explicit and implicit costs.
b) Its explicit costs only.
c) Its implicit costs only.
d) Its explicit costs plus depreciation.

36. Which market has a very high degree of product differentiation?

a) Monopoly.
b) Monopolistic competition.
c) Duopoly.
d) Oligopoly.

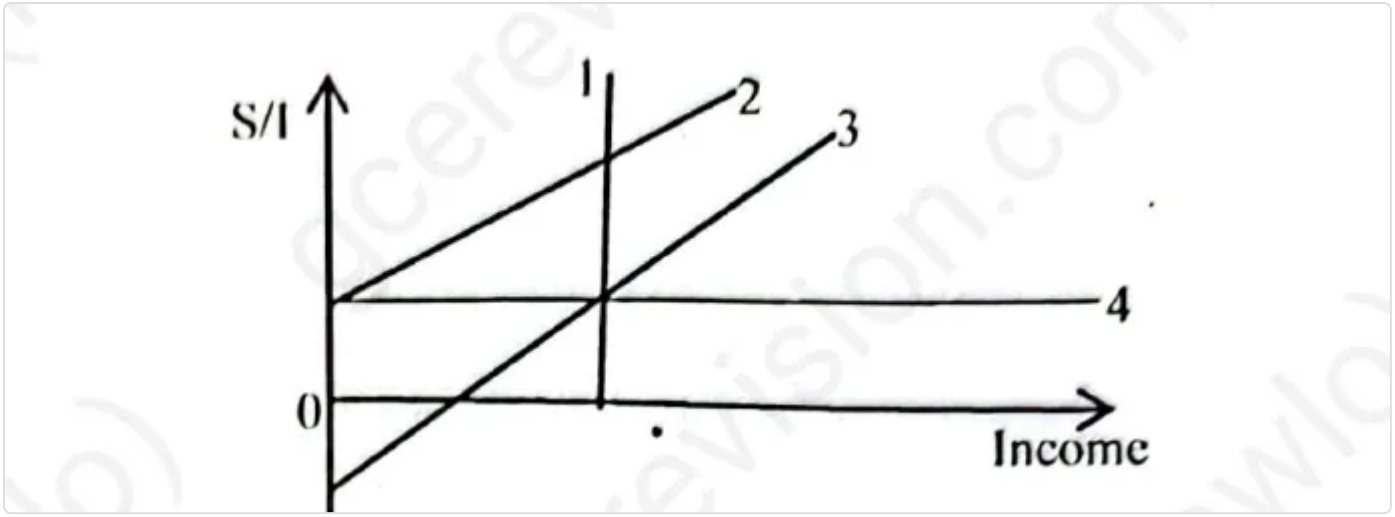
37. An industry that gains no cost advantage from locating in any one particular site and therefore can set anywhere is known as a

a) footloose industry.
b) sunrise industry.
c) weight-losing industry.
d) weight-gaining industry.

38. Which of the following represents a leakage from the circular flow of income?

a) Receipts of payments for goods sold.
b) Interest paid on bank loans.
c) National Insurance contributions.
d) Distributed profits.

39. Question 39 is based on figure 3 below.



Which of the following curves shows a situation where investment depends on induced and autonomous elements?

a) 1
b) 2
c) 3
d) 4

40. Which economic term is given to a group of countries that have accepted free trade among themselves but have instituted common external tariff against non-members?

a) Free trade area.
b) Economic Union.
c) Monetary union.
d) Customs union.

41. The demand curve for investment in the economy as a function of interest rate is

a) vertical.
b) horizontal.
c) upward sloping
d) downward sloping.

42. Which policy measure may lead to an increase in the volume of a country's imports?

Options as printed: A) Depreciation of the country's exchange rate. B) Appreciation of the country's exchange rate. C) An increase in the country's tariffs. D) An increase in the country's quotas

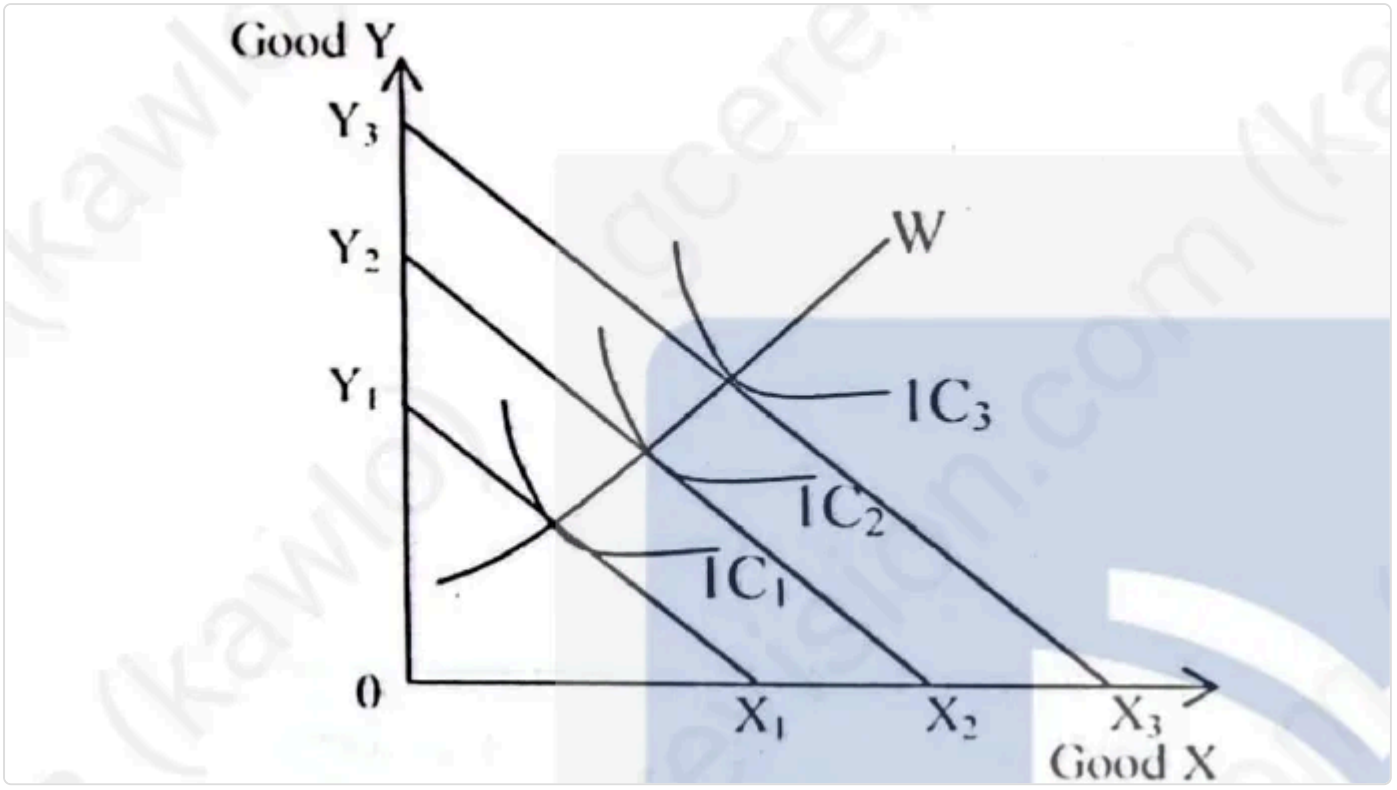
43. The law of diminishing marginal returns states that as more of a variable factor is added to a certain amount of a fixed factor, beyond some point, the

a) average physical product begins to rise.
b) average physical product falls.
c) marginal revenue product falls.
d) marginal physical product falls.

44. An increase in investment of 400Million FCFA leads to the following increases in total spending: 400 million FCFA+320 million FCFA+ 256 million FCFA+ ---- What is the value of the multiplier?

a) 1.25
b) 2.5
c) 3
d) 5

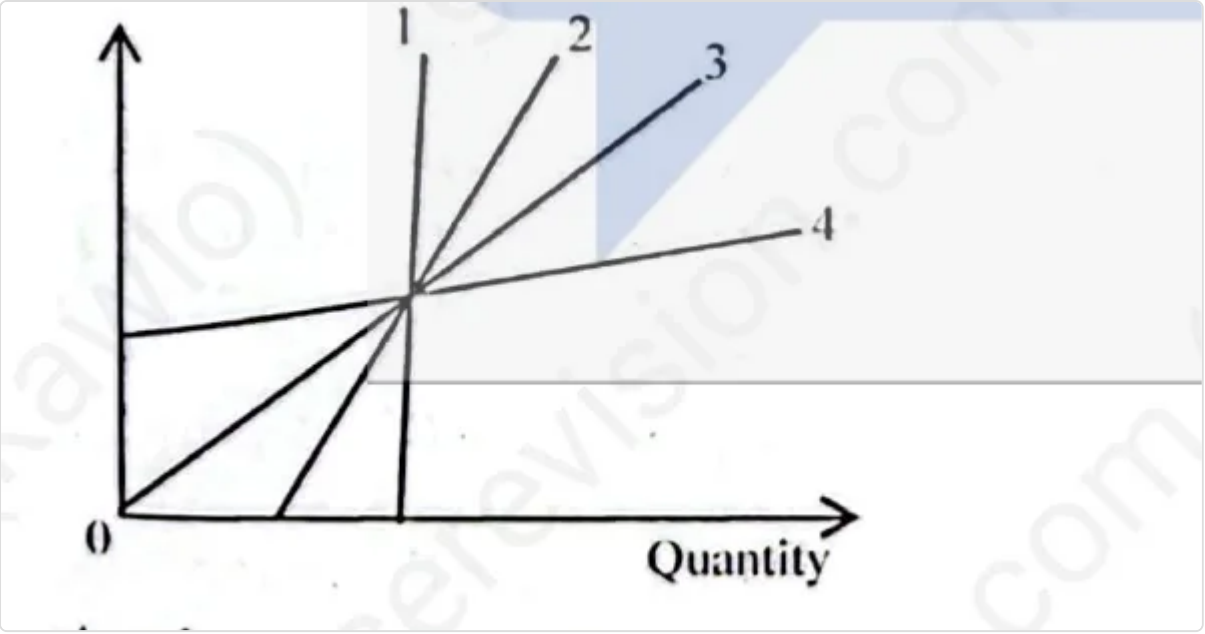
45. Question 45 is based on figure 4 which shows the behaviour of a consumer who buys two goods with relative prices held constant at different levels of income



What name is given to curve W?

a) Price consumption curve.
b) Income consumption curve.
c) Budget line.
d) Price line.

46. Which of the following curve in figure 5 represents the supply of highly skilled labour?



a) 1
b) 2
c) 3
d) 4

47. Question 47 refers to Table 4 which shows figures from a commercial bank's balance sheet.

Table 4

Item	Amount (Million FCFA)
Cash	80
Money at call	60
Bills discounted	60
Investment	40
Special deposits	160
Advances	400

If total advances are allowed to rise to 500Million FCFA, and a cash ratio of 10% is maintained, how much extra cash would the bank need?

a) 5 million FCFA.
b) 10 million FCFA.
c) 15 million FCFA.
d) 20 million FCFA.

48. In a closed economy with no government sector, the consumption function is given as C=2,400 million FCFA+0.6Y. At what level of national income will savings be zero?

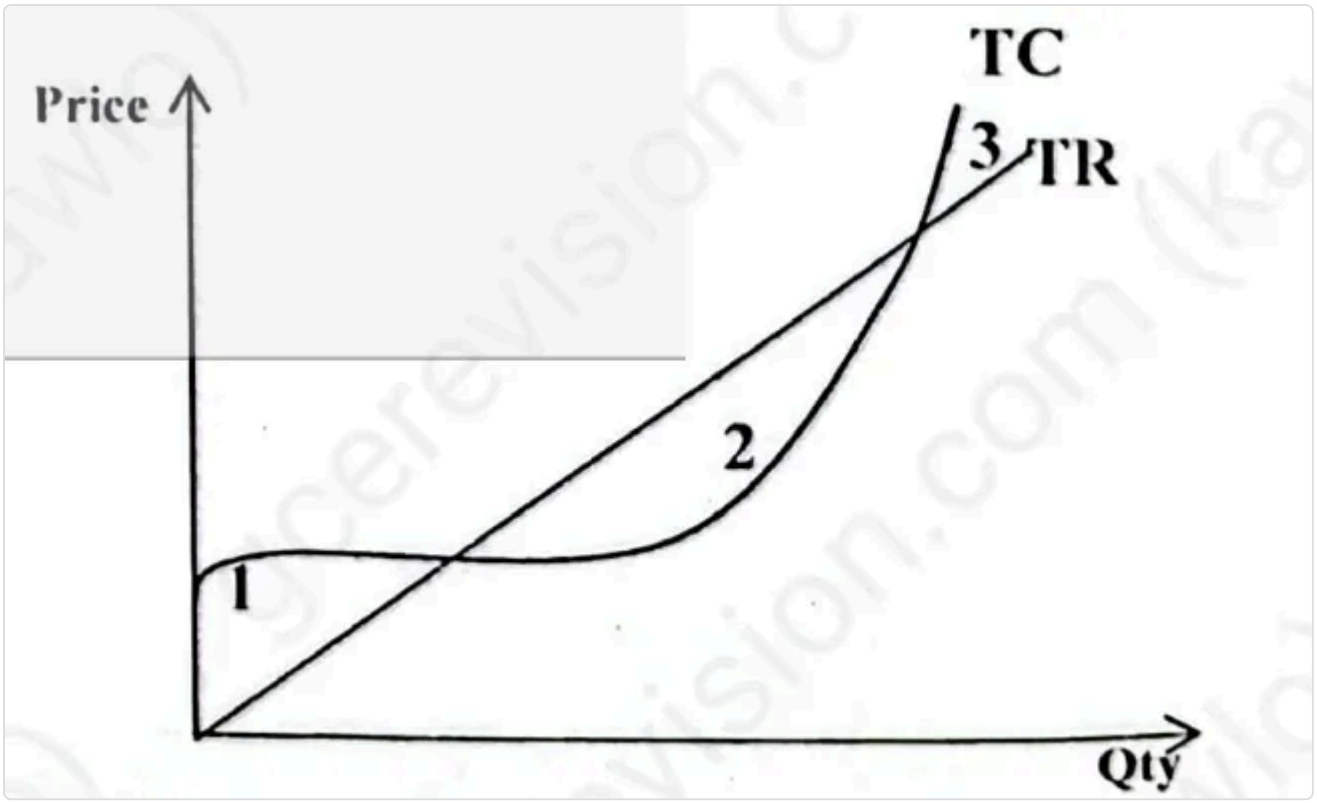
a) 4,000 million FCFA.
b) 6,000 million FCFA.

c) 1,440 million FCFA.
d) 960 million FCFA.

49. When the government removes laws that restrict entry and exit of firms and competition, this is known as

a) franchising.
b) deregulation.
c) leasing.
d) contracting.

50. Question 50 is based on figure 6 which shows TR and TC curves of a manufacturing firm.



The regions 1, 2, 3, represent respectively

a) loss, loss and loss regions.
b) loss , profit and loss regions
c) profit ,profit and profit regions
d) profit, loss and profit regions.

Want to check your answers?

The full correction of this paper, with the method explained step by step, is available on EduKora: 15,000 FCFA per child until the exam, 12,000 FCFA for each additional child in the same family.

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